

The Children's Investment Fund – Q1 2009 Report

1. Fund Performance

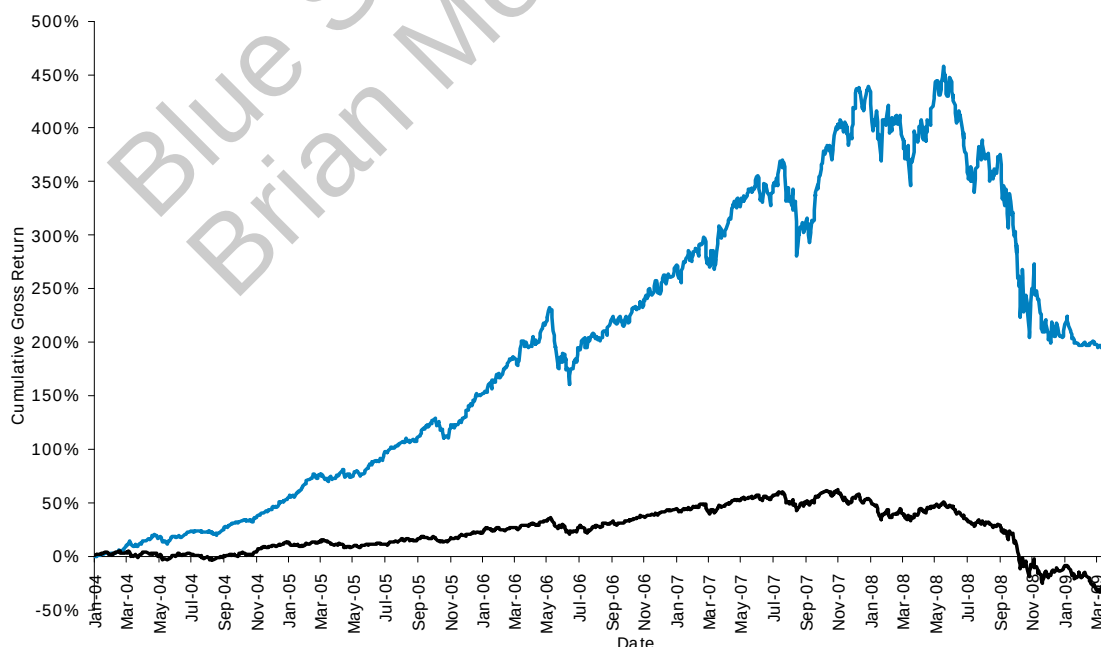
Returns for this period, net of both management and accrued incentive fees for the fund, are shown in the table below:

Period	Master Fund Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Mar 2009	6,855	-1.40%	-1.68%	-1.40%	-1.68%	7.23%
Feb 2009	7,371	0.53%	0.56%	0.53%	0.56%	-10.49%
Jan 2009	7,422	-4.51%	-4.80%	-4.51%	-4.80%	-8.85%
Q1 2009		-5.35 %	-5.88 %	-5.35 %	-5.88 %	-12.50 %
2009 YTD		-5.35 %	-5.88 %	-5.35 %	-5.88 %	-12.50 %
Annualised		+16.08%	+15.24%	n/a	n/a	-4.69%
Inception		+118.75%	+110.56%	n/a	n/a	-22.30%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

The Children's Investment Master Fund vs. MSCI World (\$)
Since Inception to March End 2009



Notes: Performance for The Children's Investment Master Fund is gross of management and incentive fees and includes dividends reinvested.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

The fund returns for the quarter were approximately -5%.

Economic fundamentals in most places of the world deteriorated sharply during Q1 and equity markets around the world fell sharply.

We have continued to reduce long exposures especially where there has been high illiquidity or leveraged exposure to economies.

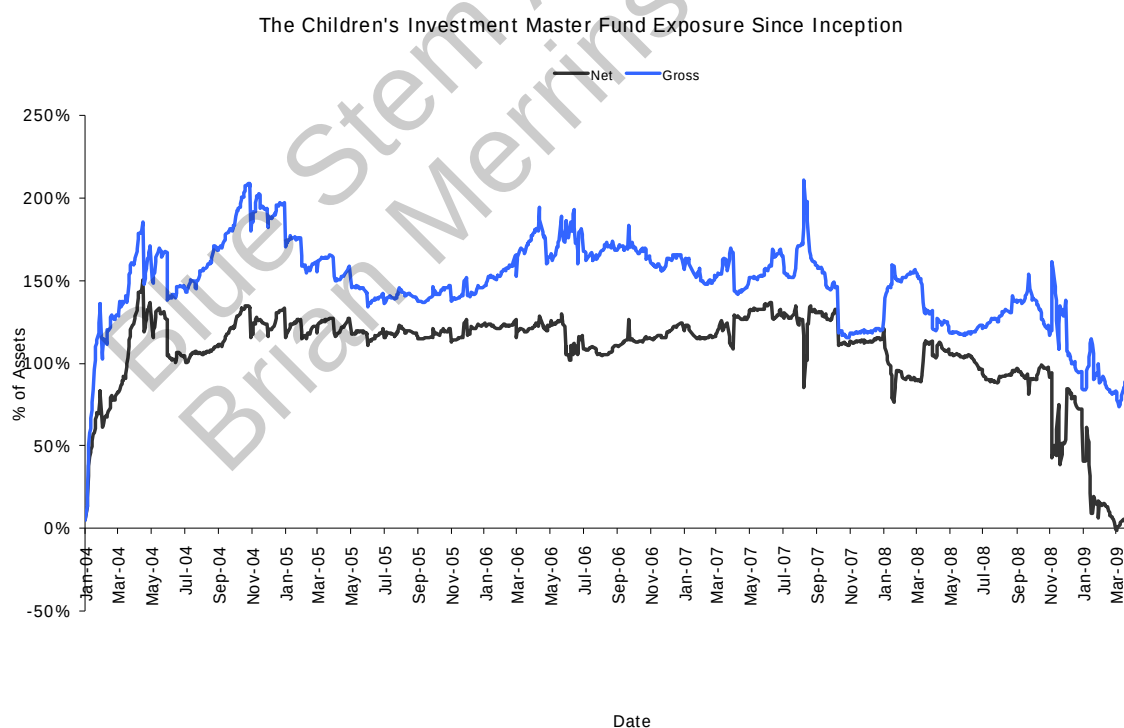
2. Key Fund Data

a. Exposure Summary

As of today the fund is approximately 34% long and 24% short in equities and 10% net long.

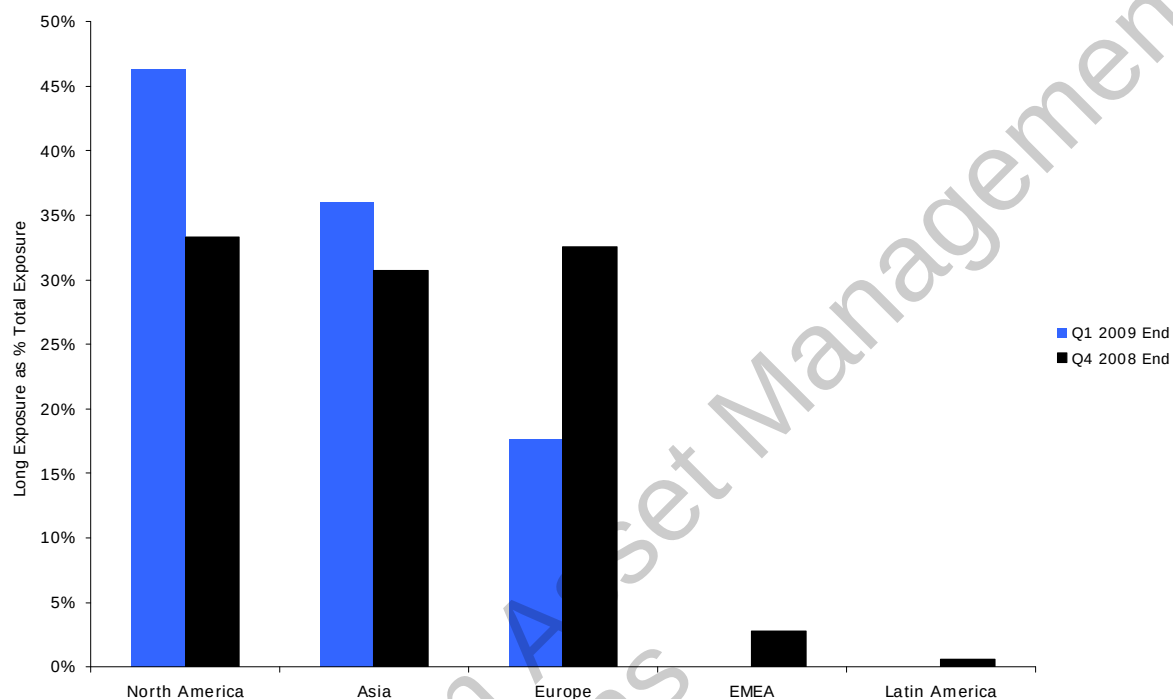
% of Master Fund Net Assets				
Period	Longs	Shorts	Gross	Net
End Mar 2009	34%	-29%	63%	5%
End Feb 2009	43%	-39%	82%	4%
End Jan 2009	52%	-36%	88%	16%

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.



Note: Gross and Net figures exclude exposure to US Treasury Bills.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.

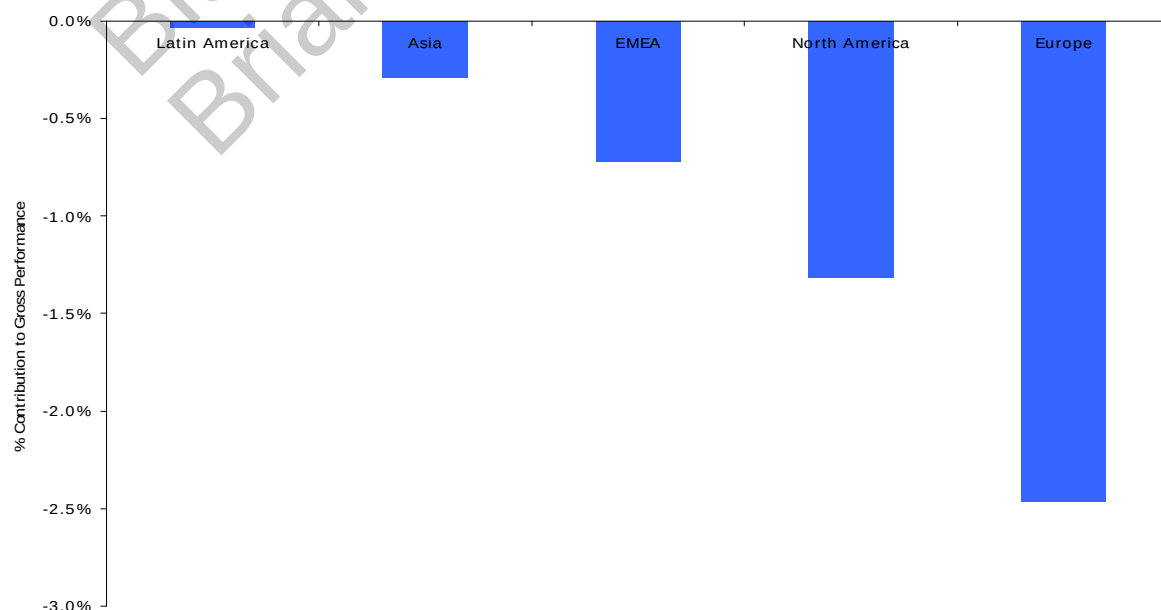
b. Q1 2009 vs. Q4 2008 Portfolio Geographical Long Exposure

Notes: Figures are re-based to a total of 100 and are on the long book only.

EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.

As a result of reducing its concentration to some of the larger European positions, the exposures in North America grew proportionally.

c. Q1 2009 Performance Contribution by Geography

EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.

The first quarter of 2009 saw all regions as detractors to performance, with Europe and North America being the worst.

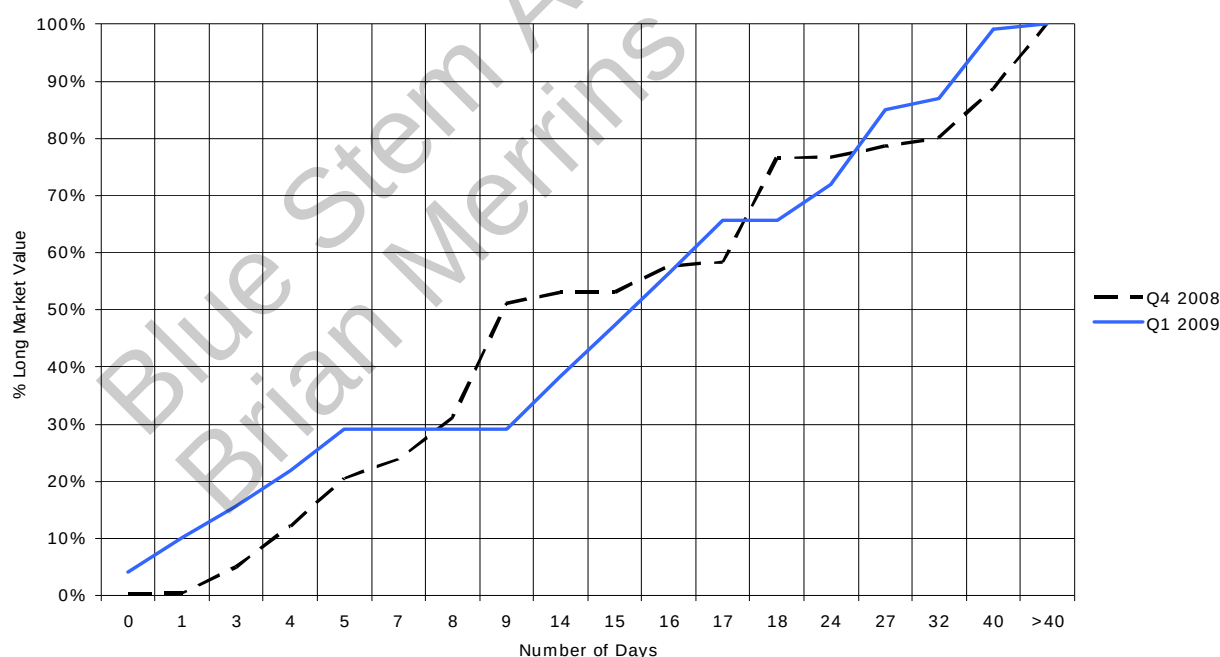
3. Outlook

Since the market low in early March we have seen a 25% rally in global equities. The real economy fundamentals in the vast majority of cases have not improved. Unemployment and underemployment are increasing everywhere at a fast pace, home prices are still declining in the US, and corporate profits are falling rapidly. The debate that currently exists in the investment world is whether an economic recovery is being correctly anticipated by the market in advance of the actual recovery or whether this is another bear market rally. Our view, from a bottom up perspective, is that we continue to see more equities that are fairly priced or over priced than are significantly underpriced. Moreover, we think that in this environment of macroeconomic uncertainty we should demand a strong margin of safety in valuation to compensate for the risk that our profit projections turn out to be unachievable.

We have added a limited number of new longs in Europe and the US and some shorts in Japan where we continue to see the worst economic situation of the major global economies.

4. Liquidity Analysis

The Children's Investment Master Fund - Liquidity Profile Q1 2009 End



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.

5. Personnel

Jim Wilk, former Head of Operations, has left the firm after we declined to renew his contract for a second year on a guaranteed basis. Gary Penning, who has been running operations on a day to day basis, continues in this role and is overseen by Joe O' Flynn, our Chief Operating Officer. We have a strong experienced business management team in place. We thank Jim for his contribution to the firm.

We have hired two new experienced analysts who will join in April. These are Masroor Siddiqui (formerly head of equities for Canyon in Europe and emerging markets) and Edgar Allen (formerly equity analyst at Blackrock and Fidelity Investments). In addition, we have also hired Jillian McIntyre as a research consultant specialising in technology. She was formerly an equity analyst at Morgan Stanley and, more recently, at Pequot Capital and has experience in the technology sector that spans over seventeen years.

Former analysts Snehal Amin and Fernando Delgado have left the firm. John Ho yesterday gave notice of his resignation. Oscar Veldhuijzen, formally head and lately the co-head of our Asian investments, will continue the management of our Asian investments with Shen Li and myself.

6. CIFF

As explained in our last investor letter, CIFF completed its move - via a redemption in specie - into a managed account vehicle on April 1st to enable CIFF to pursue a more diversified investment strategy, primarily focusing on fixed income. The redemption in specie was carried out by transferring CIFF's pro-rata share of each asset of the fund to the managed account. Where it was not possible to transfer a particular asset, arrangements have been put in place to ensure that CIFF remains economically exposed to such assets which will continue to be held by the fund.

Given its investment objective, the opportunity set and the need for liquidity, CIFF may or may not participate in new long and short equity investments. At this point, CIFF's portfolio has less than 10% of its assets in long equity positions.

TCI has been appointed investment manager to the managed account and has appointed an external investment advisor in respect of the fixed income portion of CIFF's investments.

TCI has put in place an Allocation Policy that ensures that the respective investment mandates are adhered to and that investment decisions are effected fairly and in the best interests of both clients.

7. Strategy

At this point our strategy of investing long and short in equities globally remains unchanged. We do not rule out that we may invest in debt securities as permitted by the fund offering memoranda but we are concerned that the illiquidity of these securities may be at odds with investor desire for better liquidity.

The portfolio is currently some 58% gross exposure in equities (longs plus shorts as a percentage of the fund NAV). We have been carefully making new investments in both longs and shorts during the quarter in stocks with good liquidity. Markets are extremely volatile at the moment and we expect the opportunity set for both longs and shorts to be equally volatile. Our committed capital allows us to take advantage of these opportunities.

8. Investor Relations

2009 Investor Conference

We would like to inform investors that the 2009 Investor Conference will be following a new format, offering investors a more personal forum to meet with the investment and business management teams. As a result, there will not be a general presentation and the TCI Investor Conference will run over four days at the Waldorf Astoria in New York starting on June 15.

The TCI Affiliates Investor Conference will embrace a similar format and will also begin on June 15 at the Waldorf Astoria in New York.

Invitations will be sent shortly.

9. Conclusion

For information on TCI and its affiliates please contact:

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- Jolanda Niccolini – Email: jolanda@cliffordstreet.com; Tel: +44 20 7025 7610.

During these difficult market conditions we thank you for your patience, continued trust and support.

Christopher Hohn

Managing Partner
April 2009

Appendix 1 – TCI Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01%			+2.20%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+12.84%
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+7.56%
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+1.96%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+6.14%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-1.13%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+1.07%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+4.05%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+3.61%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	+2.27%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+1.95%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+8.02%
2006		+38.99%	+36.76%	+40.45%	+38.08%	+24.57%	+22.97%	+17.95%
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-0.65%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%	+1.59%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.62%	+7.61%	+7.37%	+2.06%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%	+4.21%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%	+2.47%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%	-0.90%
Q2 2007		+7.02%	+6.67%	+7.27%	+6.91%	+7.02%	+6.67%	+5.82%
Jul 2007	11,056	+0.98%	+0.86%	+1.02%	+0.89%	+0.98%	+0.86%	-2.28%
Aug 2007	10,123	-5.97%	-6.14%	-6.16%	-6.35%	-5.97%	-6.14%	-0.27%
Sep 2007	11,308	+9.24%	+8.85%	+9.56%	+9.16%	+9.24%	+8.85%	+4.61%
Q3 2007		+3.73%	+3.04%	+3.86%	+3.13%	+3.73%	+3.04%	+1.95%

Private and Confidential

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Oct 2007	12,048	+8.13%	+8.03%	+8.37%	+8.31%	+8.13%	+8.03%	+2.99%
Nov 2007	12,263	+3.62%	+3.55%	+3.72%	+3.67%	+3.62%	+3.55%	-4.24%
Dec 2007	12,643	+2.79%	+2.76%	+2.86%	+2.86%	+2.79%	+2.76%	-1.37%
Q4 2007		+15.17%	+14.95%	+15.62%	+15.50%	+15.17%	+14.95%	-2.74%
2007		+37.59%	+35.66%	+38.97%	+37.04%	+37.59%	+35.66%	+7.09%
Jan 2008	11,239	-6.24%	-6.38%	-6.24%	-6.60%	-6.24%	-6.38%	-7.71%
Feb 2008	10,714	-2.70%	-2.56%	-2.70%	-2.65%	-2.70%	-2.56%	-0.74%
Mar 2008	10,187	-1.05%	-0.83%	-1.05%	-0.86%	-1.05%	-0.83%	-1.25%
Q1 2008		-9.73%	-9.54%	-9.73%	-9.86%	-9.73%	-9.54%	-9.53%
Apr 2008	12,073	+8.37%	+8.61%	+8.37%	+8.91%	+8.37%	+8.61%	+4.98%
May 008	12,709	+3.30%	+3.38%	+3.30%	+3.50%	+3.30%	+3.38%	+1.11%
Jun 2008	10,922	-12.96%	-12.68%	-12.96%	-13.12%	-12.96%	-12.68%	-8.10%
Q2 2008		-2.56%	-1.96%	-2.56%	-2.07%	-2.56%	-1.96%	-2.45%
Jul 2008	11,233	+1.81%	+2.02%	+1.81%	+2.09%	+1.81%	+2.02%	-2.53%
Aug 2008	11,639	-2.60%	-2.46%	-2.60%	-2.54%	-2.60%	-2.46%	-1.60%
Sep 2008	10,257	-14.88%	-15.08%	-14.88%	-15.61%	-14.88%	-15.08%	-12.08%
Q3 2008		-15.59%	-15.49%	-15.59%	-16.04%	-15.59%	-15.49%	-15.67%
Oct 2008	9,763	-13.39%	-14.41%	-13.39%	-14.91%	-13.39%	-14.41%	-19.04%
Nov 2008	8,685	-9.67%	-9.78%	-9.67%	-10.12%	-9.67%	-9.78%	-6.72%
Dec 2008	7,093	-2.06%	-2.16%	-2.06%	-2.24%	-2.06%	-2.16%	3.06%
Q4 2008		-23.38%	-24.45%	-23.38%	-25.24%	-23.38%	-24.45%	-22.18%
2008		-43.11%	-43.37%	-43.11%	-44.59%	-43.11%	-43.37%	-42.08%
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